

MUSENDO POWER



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Advanced Level

ECONOMICS

6073/1

PAPER 1 Multiple Choice

NOVEMBER 2019 SESSION

1 hour 30 minutes

Additional materials:

Multiple choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

TIME 1 hour 30 minutes

INSTRUCTIONS TO CANDIDATES

Do not open this booklet until you are told to do so.

Write your name, centre number and candidate number on the answer sheet in the spaces provided unless this has already been done for you.

There are **forty** questions in this paper. Answer **all** questions. For each question there are four possible answers, **A, B, C and D**. Choose the **one** you consider correct and record your choice in **soft pencil** on the separate answer sheet provided.

Read very carefully the instructions on the answer sheet.

Calculators may be used.

INFORMATION FOR CANDIDATES

Each correct answer will score one mark. A mark will **not** be deducted for a wrong answer.
Any rough working should be done in this booklet.

0771-075849

This question paper consists of 13 printed pages and 3 blank pages.

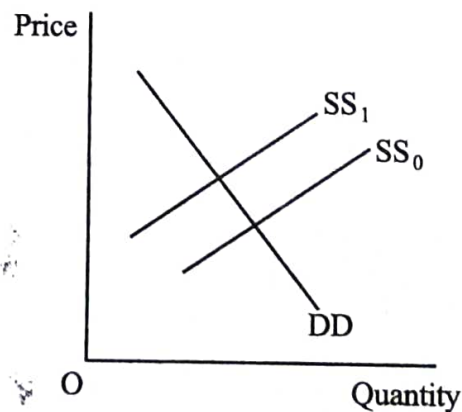
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- 1 Which of the following is an advantage of free market economy?
- A underpricing leading to an over consumption of goods and services
 - B production is characterized by increasing returns
 - C consumer preferences are reflected in the pattern of production
 - D decisions are taken on the basis of social cost and benefits
- 2 The production possibility frontier of a country producing two goods P and Q is given by

$$Q + 50P = 250$$

What is the opportunity cost of producing one more unit of P

- A 5 Q
 - B 50 Q
 - C 200 Q
 - D 250 Q
- 3 For which good does substitution effect override negative income effect when price changes?
- A a normal good
 - B an inferior good
 - C a luxurious good
 - D a habit forming good
- 4 The diagram below shows the market conditions for onions.



What causes a shift of the supply curve from SS_0 to SS_1 ?

- A a decrease in the cost of production
- B an increase in the subsidies paid to farmers
- C an increase in the price of onions per kg
- D the removal of a tax on substitutes for onions

- 5 The demand function for a product in a market is

$$Q_d = 14 - P$$

and the supply function is $Q_s = -10 + P$.

The equilibrium level of output is

- A 2
- B 4
- C 12
- D 24

- 6 The graph below shows a budget line:

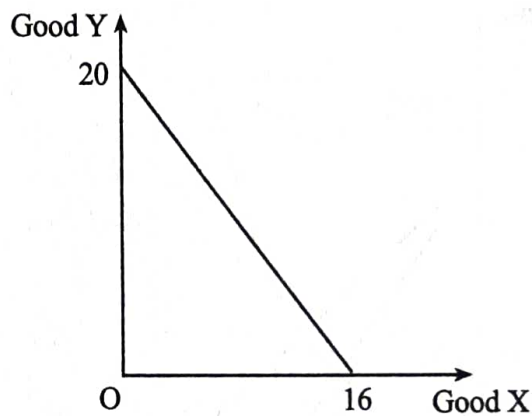
$$m = XP_x + YP_y$$

Where m is the money income

P_x is the price of product X

P_y is the price of product Y

$$200 = 20 + 16$$



Given that $m = \$200$, calculate the slope of the budget line.

- A 0.8
- B 1.25
- C 10
- D 12.50

- 7 A firm's average variable costs are \$3 at an output level of 2 000. Its total fixed costs are \$2 000.

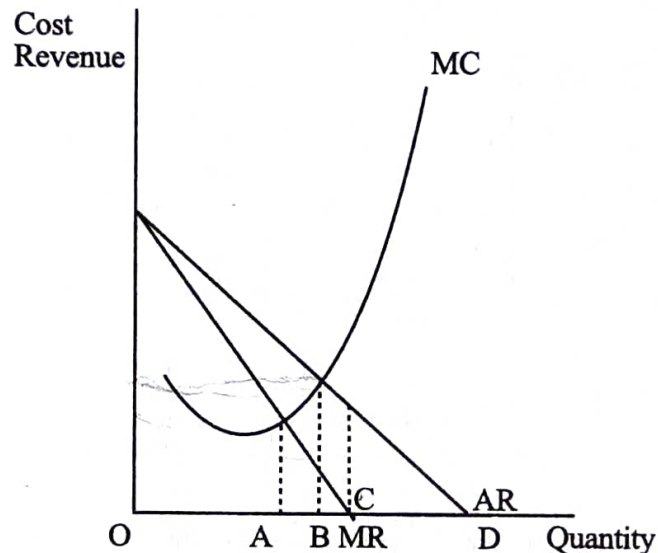
For the firm to earn normal profits, which price should it charge per unit?

- A \$1
- B \$2
- C \$3
- D \$4

- 8 In the short run, the shut down condition of a firm occurs when

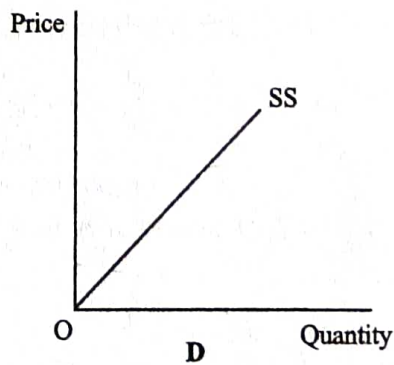
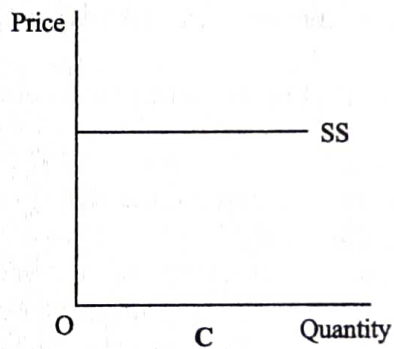
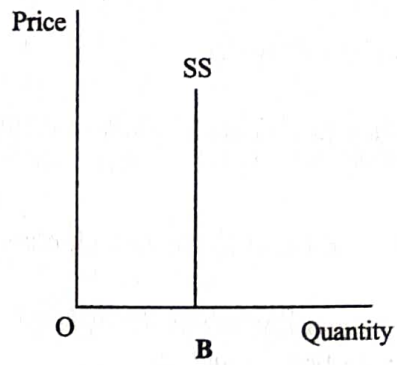
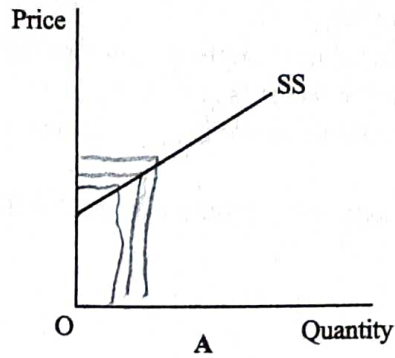
- A average revenue cannot cover average costs.
- B total revenue cannot cover total costs.
- C average revenue cannot cover average costs.
- D average revenue cannot cover average variable costs.

- 9 The diagram below shows the cost and revenue curves of a monopoly.



Of the points A, B, C or D, which would be the firm's revenue maximizing output?

10 Which of the following diagrams A, B, C or D illustrates an inelastic supply curve?





11 Marginal product of a variable factor is at a maximum when the

- A total cost is at maximum.
- B average cost and marginal cost of production are equal.
- C average cost of a variable factor is at minimum.
- D marginal cost of the variable factor is at minimum.



12 If the price elasticity of demand for a product is greater than one, then a firm can increase its revenue by

- A increasing its price.
- B decreasing its price.
- C improving its packing.
- D advertising to develop brand loyalty.

13 The revenue received from visitors to Great Zimbabwe Ruins is insufficient to meet maintenance costs.

Why should the government continue to incur such high maintenance costs?

- A there is no market for Great Zimbabwe Ruins
- B the supply of such properties are inelastic
- C the social benefits derived exceed cost of the maintenance
- D the social costs of the maintenance exceed private costs incurred

14 Which of the following is provided by the government entirely due to market failure?

- A agricultural support to farmers
- B free health services to the children and the elderly
- C retirement benefits to the elderly
- D public drainage system

15 In an open economy

consumption is \$60 million
investment is \$20 million
government expenditure is \$10 million
exports are \$15 million

Imports are 10% of domestic output.

What is the level of GDP?

- A 10.5
- B 94.5
- C 95.5
- D 115

16 In a closed economy with no government, the consumption function is given as

$$C = 100 + 0.72 Y$$

What is the value of the multiplier?

- A 0,28
- B 0,72
- C 1,39
- D 3,57

17 A deflationary gap in the economy is measured by

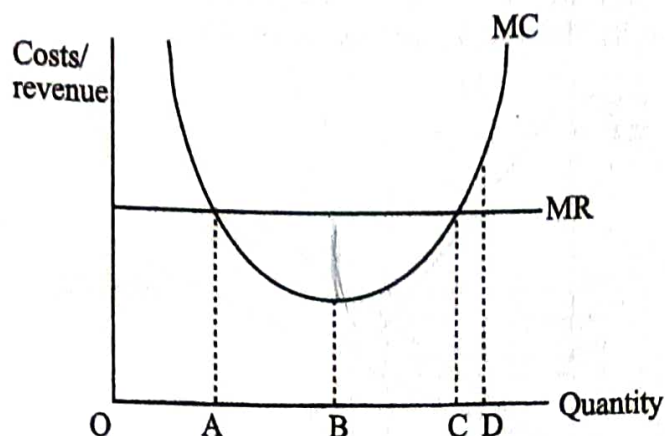
- A change in injections needed to reach full employment.
- B the public sector borrowing requirements.
- C the rate of deflation in the economy.
- D the rate of unemployment in the economy.

18 Other things being equal, the quantity of money demanded by economic agents will increase with

- A a decrease in the national income.
- B a decrease in the price level.
- C a decrease in the rate of interest.
- D an increase in money substitutes such as plastic money.

- 19 A Central Bank adopts a tight monetary policy when it
- A buys security from the market.
 - B reduces the minimum lending rate.
 - C sells securities to the economic agents.
 - D requires a decrease in special deposits at the Central Bank.
- 20 The principle of comparative advantage refers to
- A factor costs of production.
 - B total costs of production.
 - C opportunity cost of production.
 - D variable costs of production.
- 21 Which of the following is **not** a reason for government to impose import quotas?
- A to retaliate against other countries.
 - B to prevent dumping in the economy.
 - C to protect unemployment in the economy.
 - D to raise tax revenue for the government.
- 22 Zimbabwe is experiencing a balance of payment deficit and a high inflation rate.
- What is the appropriate policy measure to correct the above?
- A reduce direct taxes
 - B remove import duties
 - C increase domestic interest rates
 - D increase the money supply in the economy.
- 23 If the Zimbabwean government sets a fixed parity for its currency against other currencies it loses effective control over its
- A tax rate.
 - B money supply
 - C tariffs on import
 - D level of government expenditure
- 24 Technological unemployment in an economy is controlled by
- A the provision of retraining schemes.
 - B reduction in the level of direct taxation.
 - C a reduction in the level of indirect taxation.
 - D the provision of loans by the banks.

- 25 Which of the following points A, B, C or D in the diagram below is the profit maximising output?

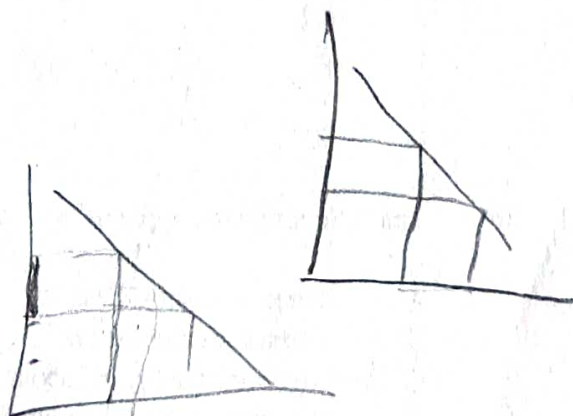


- 26 In a three sector Keynesian model, equilibrium occurs when

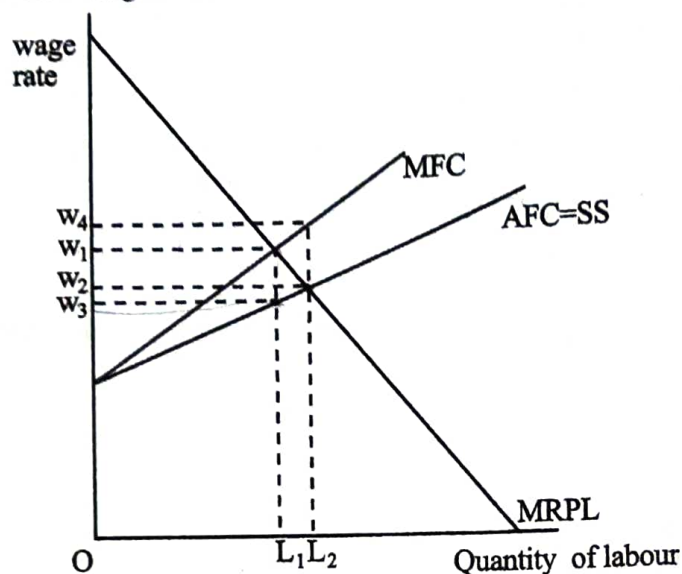
- A $I = S$
- B $I + G = S + T$
- C $I - S = G - T$
- D $S + T - M = G + I + X$

- 27 Demand for labour is elastic when

- A labour and capital can be substituted.
- B labour force is immobile.
- C demand for the final product which labour produces is inelastic.
- D labour costs are only a small proportion of total costs.



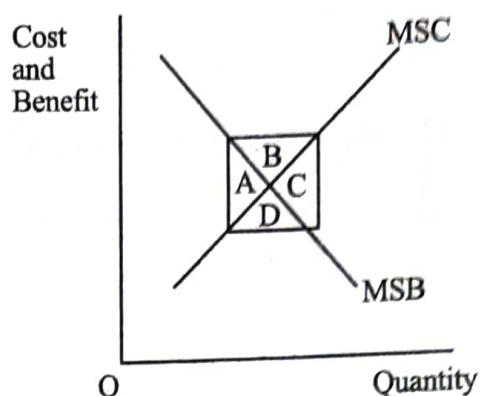
- 28 In the diagram below MRPL is a firm's marginal revenue product of labour. SS is its supply curve and MFC is its Marginal Factor Cost curve of labour.



Assuming that the firm is a monopsony, what is the degree of labour exploitation?

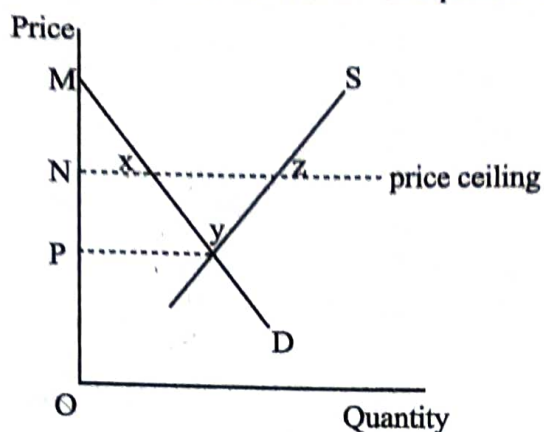
- A W_1 to W_2
 B W_1 to W_3
 C W_1 to W_4
 D W_2 to W_4
- 29 If the cash reserve requirement of the banking system is 20% and banks hold no excess reserves then the value of credit multiplier will be
- A 0.2
 B 2
 C 5
 D 20
- 30 The following are supply side policy measures **except**
- A increase in subsidies.
 B increase in income tax.
 C improved quality of labour.
 D privatization and deregulation.

- 31 Which one of the following areas A, B, C or D shows welfare loss due to overproduction of a commodity.



- 32 An economic integration which has an overall monetary authority for the whole economic block is the
- A customs union.
 - B common market.
 - C economic union.
 - D free trade area.
- 33 Which concept is being referred to if for every unit of desired sales there is need of three units of capital stock to produce it
- A GDP deflator.
 - B terms of trade.
 - C the multiplier.
 - D the accelerator.
- 34 In a dollarized economy, the Central Bank gives up its ability to
- A act as a banker's bank.
 - B monitor and supervisor the banking sector.
 - C act as a lender of last resort.
 - D borrow money from the market to cover budget deficit.

- 35 The diagram below shows a product market with OP as equilibrium price.



Government imposes a maximum price of ON and the consumer surplus becomes

- A MNX
 B MPY
 C OPY
 D XYZ
- 36 A condition necessary to achieve productive efficiency is
- A average revenue be equal to marginal cost.
 B average revenue be equal to average total cost.
 C price be equal to the minimum point of average cost.
 D price be equal to the cost of producing the last unit.
- 37 What will increase as a result of a price reduction for a good whose price elasticity of demand is unitary?
- A quantity demanded
 B expenditure on substitutes
 C total revenue earned
 D expenditure on the good



- 38 The profits made by a business man over a period of five months are shown in the table below.

MONTH	JAN	FEB	MARCH	APRIL	MAY
PROFIT	\$607	\$440	\$1 090	\$318	\$4 790

Identify the month with the median profit.

- A April
B March
C February
D January

318 440 607 1090

- 39 A consumer bought four chocolates for \$15. She later bought another chocolate for \$2,50.

What is the mean cost of all the chocolates?

- A \$3,15
B \$3,50
C \$3,75
D \$12,50

- 40 Which statement describes the mode?

- A The most frequently appearing score.
B The maximum score less the minimum score.
C The score located at the mathematical centre of a distribution.
D The score at the 50th percentile or in the middle when the scores are ordered.